



Our ref: IM-72622

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Dear Interested Party

Re: ACCC seeking your views: Schlumberger's proposed acquisition of ChampionX

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on the proposed acquisition of ChampionX Corporation (**ChampionX**) by Schlumberger Limited (**Schlumberger**) (the **Proposed Acquisition**).

Schlumberger and ChampionX supply oilfield services to the oil and gas exploration and production industry globally and in Australia. Further details are provided at **Attachment A**.

The ACCC's investigation is focused on the impact that the Proposed Acquisition would have on competition. In particular, we are seeking your views on:

- how closely Schlumberger and ChampionX compete in the supply of oilfield services in Australia, including artificial lift technologies and production chemical technologies
- the availability of alternative suppliers of polycrystalline diamond compact cutters, downhole pressure products, and other inputs for the supply of oilfield services
- the extent to which a combined Schlumberger/ChampionX would have the ability and incentive to limit rival suppliers' ability to provide a competitive offering, including by increasing prices, reducing the availability of, or research into, critical inputs, and
- whether the Proposed Acquisition is likely to increase Schlumberger's degree of integration, enabling it to bundle services like artificial lift technologies with other oilfield services.

Further issues you may wish to address are set out in **Attachment B**.

This matter is public and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the Proposed Acquisition is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by **6 December 2024** via email with the title: *Submission re: Schlumberger / ChampionX*. If you require more time to respond, please let us know.

If you would like to arrange a time to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at [ACCC mergers register](#).

Confidentiality of submissions

The ACCC treats sensitive information it receives during a merger review as confidential, and will not publish your submission. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the Competition and Consumer Act 2010. Where the ACCC is required to disclose confidential information, we will notify you in advance where possible so that you have an opportunity to be heard. Therefore please clearly indicate if any information you provide is confidential.

Our [Informal Merger Review Process Guidelines](#) contain more information on confidentiality.

Yours sincerely

A handwritten signature in blue ink, appearing to read 'Morag Bond', is positioned below the 'Yours sincerely' text.

Morag Bond
General Manager
Merger Investigations

Attachment A – Overview of the merger parties and the Proposed Acquisition

Schlumberger

Schlumberger is a global oilfield services company headquartered in Texas, United States of America (USA). Schlumberger supplies oilfield services to the oil and gas exploration and production industry globally and in Australia.

In Australia, Schlumberger's activities include the supply of oilfield services throughout the lifecycle of an oil or gas well.

Schlumberger relevantly operates in Australia through its subsidiary Schlumberger Australia Pty Ltd, and has offices in South Australia (SA), Queensland (Qld), Western Australia (WA), as well as a number of operating bases, including in Perth (WA), Karratha (WA), Darwin (Northern Territory), Moomba (SA) and Roma (Qld).

ChampionX

ChampionX is a global supplier of oilfield services headquartered in Texas, USA. In Australia, ChampionX mainly supplies two types of oilfield services, being production and automation technologies (including artificial lift and sensor technologies) and production chemical technologies, which are provided during the production phase of an oil or gas well.

ChampionX operates in Australia through its subsidiaries ChampionX Australia Pty Ltd and Apergy Artificial Lift Pty Ltd, with offices in WA and Qld.

ChampionX is a global supplier of downhole pressure products through its Quartzdyne business. It is also a supplier of diamond cutters and bearings through its subsidiary US Synthetic.

Areas of overlap

The parties overlap in the supply of various categories of oilfield services globally. In Australia, they overlap in:

- artificial lift technologies, including progressive cavity pumps and sucker rod pumps
- production chemical technologies.

The Proposed Acquisition

Schlumberger proposes to acquire 100% of the shares in ChampionX in an all-stock transaction.

Attachment B – List of questions

1. Please provide a brief description of your business or organisation.
2. Outline the reasons for your interest in the Proposed Acquisition, including any commercial relationship/s with Schlumberger and/or ChampionX. If applicable, please identify the service(s) that you supply to, acquire from, or compete with Schlumberger and/or ChampionX to provide.

Artificial lift technologies and production chemical technologies in Australia

3. Describe how closely Schlumberger and ChampionX compete in the supply of artificial lift technologies, particularly progressive cavity pumps and sucker rod pumps, and production chemical technologies.
4. Identify and describe alternative suppliers of artificial lifts and production chemical technologies, including with reference to factors such as service offering, product range and quality, price, geographic coverage and how closely they compete with Schlumberger and/or ChampionX.
5. If you are a customer that procures artificial lifts and/or production chemical technologies for use in Australia:
 - a. outline the process by which you procure these products and services, and
 - b. identify and explain the key factors considered when selecting a supplier, including the relevant importance of each factor.

Polycrystalline diamond compact cutters and bearings, and downhole pressure products

6. Explain how important diamond compact cutters and bearings, and downhole pressure products are to your Australian oil and gas exploration and production operations. Explain how you have used and/or would use these products in Australia.
7. Identify and describe alternative suppliers of diamond compact cutters and bearings, and downhole pressure products, including with reference to factors such as product quality, price and how closely they compete with ChampionX.
8. If you are a customer that procures diamond compact cutters and bearings, and downhole pressure products for use in Australia:
 - a. outline the process by which you procure these products and services
 - b. outline key factors that are taken into account, and the relative weight given to each factor, when selecting a supplier, and
 - c. whether you acquire these products in Australia or outside of Australia and the costs to acquire these products for your Australian operations.

9. If the Proposed Acquisition proceeds, outline the potential impact on the supply of diamond compact cutters and bearings, and downhole pressure products for Australian operations, including with reference to factors such as:
- a. pricing
 - b. product availability from alternative suppliers,
 - c. the incentive on Schlumberger and any other supplier of such cutters and bearings and transducers to continue to enable access to such products post-acquisition.

Inputs into gas oil and gas exploration and production industry

10. Describe how you acquire products or services that ChampionX currently supply that are an input into a product or service that you provide either in Australia or globally?
11. Explain whether you compete with Schlumberger in the supply of any product or service that requires a ChampionX product or service as an input.
12. Are any ChampionX products or services a critical or unique input into one of your oilfield products or services? If you could not access a product or service post-acquisition, are you able to acquire or develop substitute products or services as inputs?

Bundles of products and/or services

13. How important is an offering that bundles products or services? Explain whether Schlumberger would increase its ability to bundle oilfield products and service through the proposed acquisition of ChampionX?

Additional information

14. Please provide any additional information or comments that you consider relevant to the ACCC's consideration of the Proposed Acquisition.